

Apple Inc.

AAPL

Technology

RATING

Outperform

PRICE

\$270.71

TARGET

\$287.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$3,974.33B	34.1x	51.79x
ROE	DIV. YIELD	52W RANGE
151.9%	0.38%	\$193.25 - \$288.62

Investment Thesis

“ Apple Inc. maintains a resilient financial profile with steady top-line growth projected at a 3.3% CAGR through 2027, supported by expanding contribution margins approaching 50% and EBITDA expected to reach \$215.8 billion by 2027. While AAPL trades at a premium EV/EBITDA multiple of approximately 27x relative to peers Google and Microsoft, its consistent earnings power and disciplined SG&A management underpin a durable competitive moat. With EPS forecasted to grow from \$7.49 in 2025 to \$8.93 by 2027 and EBITDA margins expanding toward 45%, Apple remains a high-quality compounder warranting a premium valuation despite near-term multiple compression risk.

Company Overview

Apple Inc. (AAPL) is one of the world's most valuable and recognizable technology companies, headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has evolved from a personal computer manufacturer into a global technology ecosystem spanning hardware, software, and services. Apple's business model is built around a tightly integrated ecosystem of premium hardware products and a rapidly expanding services platform. Its core hardware offerings include the iPhone, which remains the primary revenue driver, alongside Mac computers, iPad tablets, Apple Watch, and AirPods. Complementing these products is a robust and growing services segment encompassing the App Store, Apple Music, Apple TV+, iCloud, Apple Pay,

and Apple Arcade. This dual-engine model creates significant customer lock-in and recurring revenue streams, which have become increasingly important to the company's long-term financial profile.

Apple holds a commanding position in the premium consumer electronics market, consistently ranking among the top global smartphone vendors by revenue share. The company competes with Alphabet, Microsoft, Samsung, and a range of other technology and consumer electronics firms. In terms of EBITDA generation, Apple led its peer group through 2023, though both Alphabet and Microsoft have since surpassed it, with Alphabet's projected 2026 EBITDA of approximately 211 billion dollars notably exceeding Apple's estimated 150 billion dollars for the same period.

Financially, Apple has demonstrated steady if measured revenue growth, with a compound annual growth rate of 3.3 percent from 2021 through projected 2027 estimates. Revenue reached approximately 416 billion dollars in fiscal year 2025, with growth expected to continue at a moderate pace toward 482 billion dollars by 2027. A particularly encouraging trend is the consistent expansion of contribution margins, rising from 41.8 percent in 2021 to a projected 49.9 percent by 2027, reflecting the increasing mix of high-margin services revenue. EBITDA margins are similarly expected to improve meaningfully in the forward estimates, reaching 44.8 percent by 2027 compared to the mid-30 percent range seen historically. Earnings per share have grown from 5.67 dollars in 2021 to 7.49 dollars in 2025, with estimates projecting continued expansion toward 8.93 dollars by 2027. Apple's EV/EBITDA multiple of approximately 27 times reflects a premium valuation relative to historical norms, underscoring investor confidence in its long-term earnings power and ecosystem durability.

Investment Overview

Apple Inc. (AAPL) Investment Update

Recent Financial Performance

Apple delivered solid fiscal 2025 results, with revenue growing **6.4%** year-over-year to **\$416.2 billion**, rebounding meaningfully from the modest **2.0%** growth recorded in fiscal 2024. EBITDA expanded to **\$144.4 billion**, representing a margin of **34.7%**, continuing a gradual upward trend from the **33.7%** level seen in 2021 and 2023. Earnings per share rose sharply to \$7.49 in 2025, up from \$6.11 in 2024, reflecting both operational improvement and the company's ongoing share repurchase program. Contribution margins have also improved steadily, reaching **46.9%** in 2025, underscoring Apple's pricing power and favorable product mix shift toward higher-margin services.

Growth Drivers

The primary growth catalysts include continued Services segment expansion, which carries structurally higher margins than hardware, and the gradual integration of Apple Intelligence across its device ecosystem. SG&A as a percentage of revenue has begun to decline, signaling improving operating leverage. Estimated figures through 2027 project EBITDA margins expanding notably toward **44.8%**, suggesting meaningful efficiency gains ahead.

Peer Positioning and Valuation

Apple trades at an EV/EBITDA multiple of approximately **27.0x** on 2025 figures, a premium to Alphabet at **21.2x** but broadly comparable to historical norms. However, both Alphabet and Microsoft are projected to grow EBITDA at a faster pace through 2026, which may pressure Apple's relative valuation. Revenue is forecast to grow at a three-year CAGR of **3.3%** through 2027, reflecting a mature but resilient business.

Outlook

With EPS estimated to reach **\$8.93** by 2027 and margins trending higher, Apple remains a high-quality compounder. Investors should monitor Services growth sustainability and competitive AI developments as key variables influencing the forward multiple.

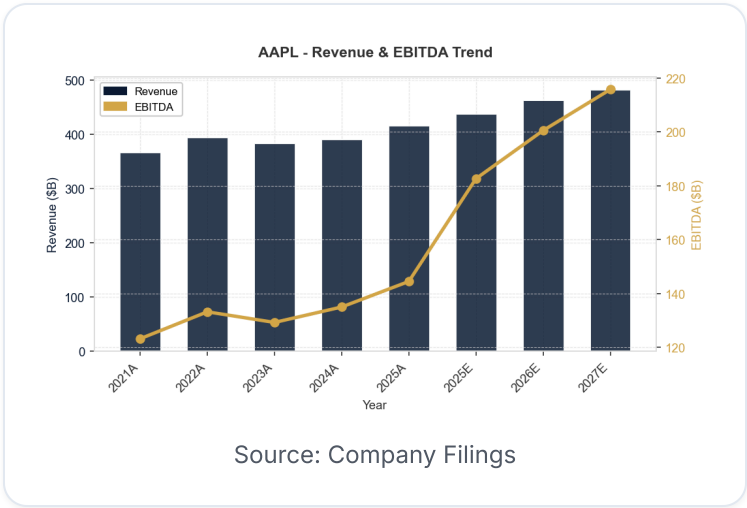
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$416.16B
EBITDA (2025A)	\$144.43B
Revenue Growth (2025A)	6.4%

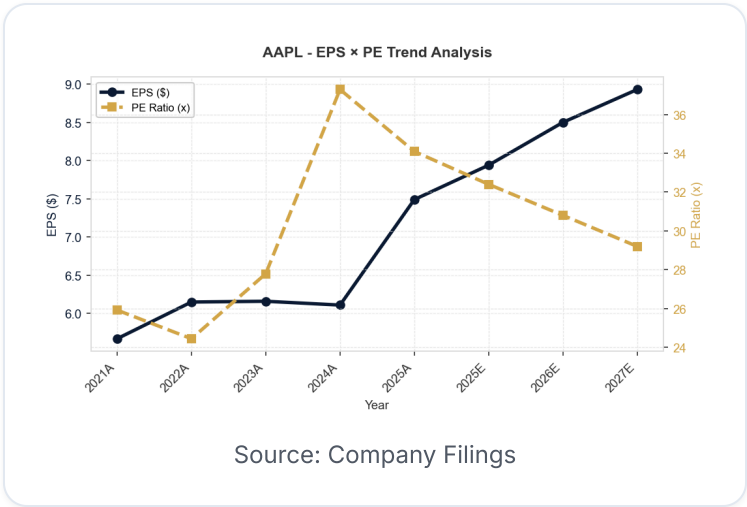


Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	7.49
PE Ratio (2025A)	34.09



Valuation Analysis

Apple Inc. (AAPL) Valuation Analysis

Current Valuation Metrics

Apple currently trades at a trailing P/E of approximately **34.1x** based on 2025 actual EPS of \$7.49, with forward estimates suggesting modest multiple compression to **32.4x** in 2025E, **30.8x** in 2026E, and **29.2x** in 2027E as earnings grow at a measured pace. On an EV/EBITDA basis, Apple trades at roughly **27.0x** 2025 EBITDA, representing a premium to its own historical average of approximately 20-22x observed between 2021 and 2023. Revenue growth remains modest at a projected **3.3%** CAGR through 2027, though margin expansion is a compelling narrative, with EBITDA margins forecast to improve meaningfully from **34.7%** in 2025A to **44.8%** by 2027E, driven by SG&A efficiency and contribution margin improvement.

Peer Comparison

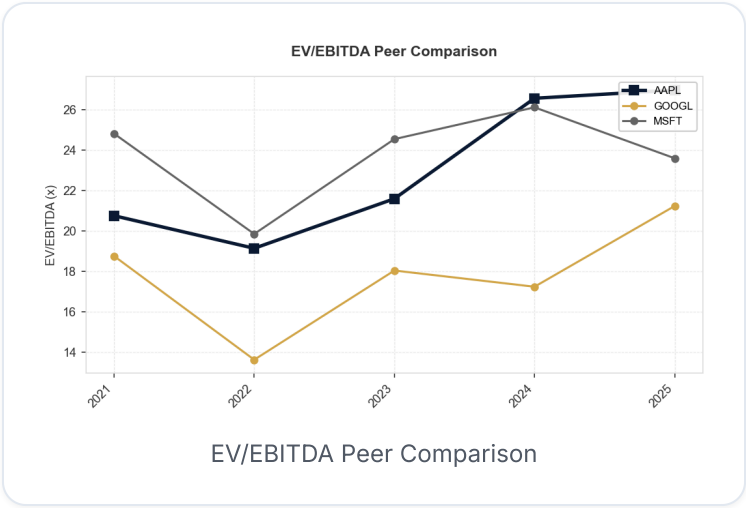
Relative to peers, Apple's EV/EBITDA premium appears increasingly difficult to justify on a growth-adjusted basis. Alphabet (GOOGL) trades at **21.2x** 2025 EBITDA while delivering significantly stronger EBITDA growth, with its 2025 EBITDA of **\$180 billion** already surpassing Apple's **\$144 billion** and projected to reach **\$211 billion** in 2026. Microsoft (MSFT) trades at **23.6x** 2025 EBITDA and benefits from superior cloud-driven growth dynamics. Apple's **27.0x** multiple represents a notable premium over both peers despite comparatively slower top-line expansion.

Fair Value Assessment

Applying a sector-appropriate EV/EBITDA multiple of 24-**26x** to 2026E EBITDA of approximately **\$201 billion** implies an enterprise value range of **\$4.8 to \$5.2 trillion**. Incorporating projected EPS of \$8.50 at a 28-**30x** forward P/E yields a price target range of roughly **\$238 to \$255** per share. At current levels, AAPL appears fairly valued to modestly stretched, with margin expansion providing the primary upside catalyst while revenue growth deceleration poses the key downside risk.

Peer Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Apple Inc. (AAPL) Summary - April 28, 2026

Apple is navigating a pivotal moment heading into its April 30 Q2 earnings report, with several converging catalysts drawing significant investor attention. The most notable development is the announced transition of CEO Tim Cook, with hardware engineering chief John Ternus set to take the helm. Markets have interpreted this as a measured, confidence-inspiring handoff rather than a disruption, with some analysts viewing the timing ahead of an expected earnings beat as strategically deliberate.

On the financial front, UBS and several independent analysts are projecting a strong Q2 print, supported by resilient iPhone demand and expanding services revenue. Estimates point to EPS of approximately \$7.94 for fiscal 2025, with the forward EBITDA margin trajectory improving meaningfully toward **41.8%** in 2025 estimates versus the **34.7%** actual, suggesting significant operational leverage ahead. Notably, Apple

appears to be benefiting from rising memory chip costs that are pressuring competitors while leaving Apple's vertically integrated supply chain comparatively insulated.

Apple's AI positioning is gaining renewed attention, with analysts arguing the company's device-level AI integration strategy could make it a dominant but understated player in consumer AI adoption. New App Store subscription pricing flexibility further signals efforts to deepen the services ecosystem.

Regulatory headwinds remain a watch item, as EU regulators are extending Digital Markets Act scrutiny toward cloud and AI services, which could affect Apple's growing software and services segment.

Retail sentiment is mixed but leaning constructive, with X.com showing **73%** bullish sentiment against more cautious Reddit commentary. At a forward PE near **32x** and with peers like Google and Microsoft commanding premium EBITDA multiples, Apple appears reasonably valued with identifiable upside catalysts into earnings.

Retail Sentiment Insights

AVERAGE BUZZ 76.7/100	BULLISH AVG 49.7%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 73.1/100 Bullish 25.0% Mentions 1054 Trend rising	X.com Buzz 86.0/100 Bullish 73.0% Mentions 3069 Trend stable	Polymarket Buzz 71.1/100 Bullish 51.0% Trades 2466 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **41.8%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **43.3%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **44.8%**

Confidence Intervals:

- Revenue: **\$340.1B - \$623.3B (95% confidence)**

▸ EBITDA: **\$152.4B - \$279.3B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$340.1B — \$623.3B
EBITDA	\$152.4B — \$279.3B

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- **Product Launch** (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
- Impact: MEDIUM, Probability: **70%**
- **Product Launch** (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
- Impact: MEDIUM, Probability: **70%**
- **Earnings** (2026-04-28): Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-27): Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?
- Impact: HIGH, Probability: **95%**

Events to Monitor

- Apple Stock Poised for **21%** Surge (2026-04-28)
- Lovable launches its vibe coding app on iOS and Android (2026-04-28)
- Former Apple CEO warns of **SERIOUS THREAT** facing tech titan (2026-04-27)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat

▲ **EARNINGS** Impact: medium

The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

▲ **EARNINGS** Impact: medium

Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?

▲ **EARNINGS** Impact: medium

Big Tech faces key earnings test on AI spending and cloud growth

▲ **EARNINGS** Impact: medium

Big Tech faces key earnings test on AI spending and cloud growth

Positive Catalysts

- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market
- ✓ Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?
- ✓ Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- ✓ Big Tech faces key earnings test on AI spending and cloud growth
- ✓ Apple: A New Boss And A New And Higher Dividend (Rating Upgrade)
- ✓ Big Tech faces key earnings test on AI spending and cloud growth
- ✓ Wall Street's Insights Into Key Metrics Ahead of Apple (AAPL) Q2 Earnings
- ✓ Apple is defying a global smartphone slump, as shown through this first-time feat

Technical & Advanced Analysis

Technical Overview — AAPL

Current Price: **\$270.71** | 52-Week Range: **\$193.25 - \$288.62**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$260.56** | SMA 200: **\$254.21**

RSI Bullish
RSI (14): **62.7** — Bullish momentum range.

MACD Bullish
MACD: **3.79** | Signal: **2.95** | Histogram: **0.84**

Volume Normal
Latest: **39.3M** | 20d Avg: **41.7M** | Ratio: **0.94x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B	\$150.4B
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Apple Inc. (AAPL) remains a leading player in the technology sector, competing closely with major peers such as Alphabet Inc. (GOOGL) and Microsoft Corporation (MSFT). Apple's financial performance illustrates steady revenue growth with a Compound Annual Growth Rate (CAGR) of **3.3%** from 2021 to 2027. Despite a slight dip in revenue in 2023, Apple shows resilience with projected growth through 2027.

In terms of profitability, Apple's EBITDA margin is projected to increase significantly, reaching **44.8%** by 2027, indicating strong operational efficiency compared to its peers. Apple's EBITDA figures are consistently high, reflecting its robust business model and market dominance. While Google's EBITDA is expected to surpass Apple's by 2026, Apple's consistent margin growth suggests strong future profitability.

Apple's PE Ratio reflects market confidence, although it is higher than Google's, indicating that investors might anticipate higher growth potential or risk compared to Google. Apple's valuation, as indicated by its EV/EBITDA, is generally higher than Google's but comparable to Microsoft's, suggesting a premium attributed to its brand strength and product ecosystem.

Compared to Microsoft, Apple has shown a lower EBITDA in recent years but is closing the gap in future projections. Microsoft's EV/EBITDA shows a competitive valuation, slightly lower than Apple's, indicating market optimism about its diversified business model.

Overall, Apple continues to leverage its brand strength and innovative product offerings to maintain a competitive edge. Its strong financial metrics, especially in EBITDA growth and margin improvement, position it well against key competitors. However, Apple's higher PE and EV/EBITDA ratios suggest that it remains under pressure to deliver consistent innovation and growth to justify investor expectations.

Risk Factors

Apple Inc. (AAPL) — Key Investment Risks

- **Revenue Growth Deceleration & Concentration Risk:** Apple's 3.3% revenue CAGR is modest, with historical volatility including a -2.8% contraction in 2023. Heavy dependence on iPhone hardware (~50%+ of revenue) leaves the company vulnerable to consumer electronics cyclicalities and market saturation in core geographies.
- **Aggressive Margin Expansion Assumptions:** Projected EBITDA margins jump sharply from 34.7% (2025A) to 41.8% (2025E) and 44.8% (2027E), representing a significant deviation from the historically stable 33–35% range. Failure to achieve these targets through Services growth or cost discipline could materially disappoint investors.
- **Competitive Pressure from Better-Positioned Peers:** Google and Microsoft are growing EBITDA significantly faster — GOOGL's EBITDA nearly doubled from \$103B (2021) to \$211B (2026E) — while trading at lower EV/EBITDA multiples (21.2x vs. Apple's 27.0x in 2025), suggesting Apple carries a relative valuation premium with inferior growth momentum.
- **Premium Valuation Leaves Limited Margin of Safety:** Apple's P/E expanded from ~25x (2021) to ~37x (2024) despite flat EPS growth (\$6.15 to \$6.11 between 2022–2024), indicating multiple expansion rather than fundamental improvement. Any earnings miss could trigger a sharp de-rating.
- **Geopolitical & Supply Chain Concentration Risk:** Apple's deep manufacturing dependency on China exposes the company to escalating U.S.-China trade tensions, potential tariff impacts on cost of

operations (~53% of revenue in 2025A), and supply disruption risks that could compress margins well below projected levels.

Key Takeaways

Revenue Growth

Apple Inc. experienced fluctuating revenue growth, with a notable dip of **-2.8%** in 2023. However, the company rebounded with positive growth in subsequent years, projecting a **4.0%** increase by 2027, resulting in a CAGR of **3.3%**.

Gross Profit Margin

Apple's contribution margin saw a steady increase from **41.8%** in 2021 to an expected **49.9%** by 2027, indicating improved operational efficiency and potentially higher profitability on each unit of sale.

SG&A Expense Margin

The SG&A expense margin for Apple remained relatively stable, peaking at **6.7%** in 2024 before trending downwards to a projected **5.1%** by 2027. This decline suggests a more effective control over selling, general, and administrative expenses relative to revenue.

EBITDA Margin

Apple's EBITDA margin has shown a consistent upward trend, climbing from **33.7%** in 2021 to an anticipated **44.8%** in 2027. This improvement reflects enhanced earnings before interest, taxes, depreciation, and amortization, underscoring the company's strong operational performance.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	-	7.8%	-2.8%	2.0%	6.4%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
EBITDA/Int Exp	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.1	0.9	1.0	0.9	0.9
Cash Flow to Debt Ratio	0.76	0.92	0.89	0.99	0.99

AI4Finance Foundation FinRobot Equity Research

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